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ECON 308 – International Economic Relations
MIDTERM EXAM #1
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Instructions:

1. You have 75 minutes to work on the exam.
2. This midterm is individual and closed-book.
3. For the multiple-choice questions, choose the option that best answers/completes the question.
4. This Examination paper includes 10 pages (includes the cover page). You are responsible for ensuring that your copy of the paper is complete. Bring any discrepancy to the attentions of your invigilator.

PLEASE: PUT YOUR NAME AND STUDENT ID ON EVERY SHEET!!

Multiple Choice Answers:

- | | | |
|-----------|-----------|-----------|
| 1. _____ | 15. _____ | 29. _____ |
| 2. _____ | 16. _____ | 30. _____ |
| 3. _____ | 17. _____ | 31. _____ |
| 4. _____ | 18. _____ | 32. _____ |
| 5. _____ | 19. _____ | 33. _____ |
| 6. _____ | 20. _____ | 34. _____ |
| 7. _____ | 21. _____ | |
| 8. _____ | 22. _____ | |
| 9. _____ | 23. _____ | |
| 10. _____ | 24. _____ | |
| 11. _____ | 25. _____ | |
| 12. _____ | 26. _____ | |
| 13. _____ | 27. _____ | |
| 14. _____ | 28. _____ | |

MULTIPLE CHOICE. Choose the one alternative that best completes the statement or answers the question (1 point each, total of 34 points).

- 1) Over the past 50 years, developing countries' exports have seen a(n) _____ in manufactured goods and a(n) _____ in agricultural products.
A) decrease; increase B) decrease; decrease
C) increase; increase D) increase; decrease
- 2) In 2019, United States top 15 trading partners account for _____ of the value of U.S. trade that year.
A) 50 percent B) 25 percent C) 75 percent D) 90 percent E) 85 percent
- 3) In the early 20th century, the United Kingdom imported mainly
A) manufactured goods.
B) services.
C) primary products including agricultural.
D) from the United States.
E) technology intensive products.
- 4) In 2019, United States top 15 trading partners do not include
A) Canada. B) Vietnam. C) Australia. D) China. E) Mexico.
- 5) According to the *gravity model*, a characteristic that tends to affect the probability of trade existing between any two countries is
A) their colonial-historical ties.
B) their cultural affinity.
C) the number of different product varieties produced by their industries.
D) the average weight/value of their traded goods.
E) the distance between them.
- 6) In 2015, the United States imported and exported mainly
A) manufactured goods.
B) livestock.
C) services.
D) primary products.
E) technology intensive products.
- 7) In the present, most of the exports from China are
A) technology intensive products.
B) manufactured goods.
C) primary products including agricultural.
D) overpriced by world market standards.
E) services.

8) Why does the gravity model work?

- A) Large economies have relatively larger areas, which raises the probability that a productive activity will take place within the borders of that country.
- B) Large economies have relatively large incomes, and hence spend more on government promotion of trade and investment.
- C) Large economies became large because they were engaged in international trade.
- D) Large economies tend to avoid trading with small economies.
- E) Large economies tend to have large incomes and tend to spend more on imports.

9) In the early 20th century, the United Kingdom exported mainly

- A) technology intensive products.
- B) services.
- C) primary products including agricultural.
- D) manufactured goods.
- E) livestock.

10) In general, which of the following do NOT tend to increase trade between two countries?

- A) the existence of well controlled borders between countries
- B) larger economies
- C) linguistic and/or cultural affinity
- D) historical ties
- E) mutual membership in preferential trade agreements

11) The *gravity model* offers a logical explanation for the fact that

- A) trade between Asia and the U.S. has grown faster than NAFTA trade.
- B) trade in manufactures has grown faster than in agricultural products.
- C) the U.S. trades more with Western Europe than it does with Canada.
- D) trade in services has grown faster than trade in goods.
- E) Intra-European Union trade exceeds international trade by the European Union.

12) According to the Gravity Model, the reason why the United States trades more heavily with Germany, the United Kingdom, and France than with other countries in Europe is because of

- A) the size of their economies.
- B) mutual rights and responsibilities.
- C) their ties to the European Union.
- D) their currencies and trade policies.

13) Which of the following statements is TRUE?

- A) A country's exports are determined by its high productivity in the industry compared with that of foreigners.
- B) A country's exports are determined by its low productivity in the industry compared with that of foreigners.
- C) A country's exports are determined by its ability to match other countries' productivity.
- D) A country's exports are determined by its relative high productivity in the industry compared with relative productivity in other sectors.

14) In order to produce winter roses, the U.S. economy must produce fewer of other things, such as computers. Such a trade-off is an example of

- A) opportunity cost.
- B) production cost.
- C) trade cost.
- D) sunk cost.

15) We know that in antiquity, China exported silk because no one in any other country knew how to produce this product. From this information we know that

- A) China had an absolute advantage, but not a comparative advantage in silk.
- B) China exported silk for political reasons even though it had no comparative advantage.
- C) China had a comparative advantage in silk.
- D) no comparative advantage could exist because the technology was not diffused.
- E) China was unable to profit by exporting silk because it was unknown in the rest of the world.

16) If a production possibilities frontier is a straight line, then production occurs under conditions of

- A) constant opportunity costs.
- B) increasing opportunity costs.
- C) uncertain opportunity costs.
- D) infinite opportunity costs.
- E) decreasing opportunity costs.

17) The economy will specialize in the production of _____ if the relative price of cheese exceeds its opportunity cost in terms of wine; it will specialize in the production of _____ if the relative price of cheese is less than its opportunity in terms of wine.

- A) wine; cheese B) cheese; wine C) wine; wine D) cheese; cheese

18) According to Ricardo, a country will have a comparative advantage in the product in which its

- A) labor is outsourced to neighboring countries.
- B) labor productivity is relatively high.
- C) labor mobility is relatively low.
- D) labor productivity is relatively low.
- E) labor mobility is relatively high.

19) In a many-good Ricardian model, equilibrium relative wage is determined by

- A) the intersection of the production possibility frontier and the vertical axis.
- B) the intersection of the derived relative demand curve for labor with the relative supply.
- C) the intersection of the demand curve for labor with the supply curve for labor.
- D) the intersection of the production possibility frontier and the horizontal axis.

20) If labor productivities were exactly proportional to wage levels internationally, this would

- A) negate the applicability of the Ricardian model if the number of products were greater than the number of trading partners.
- B) not negate the logical basis for trade in the Ricardian model.
- C) render the Ricardian model theoretically correct but practically useless.
- D) demonstrate the validity of the Ricardian model.
- E) negate the logical basis for trade in the Ricardian model.

21) Which of the following statements is TRUE?

- A) Free trade is beneficial only if your country is strong enough to stand up to foreign competition.
- B) Free trade can be beneficial to the economic welfare of all countries involved.
- C) Free trade is beneficial only if both countries have access to the same technology.
- D) Free trade is beneficial only if your competitor does not pay unreasonably low wages.
- E) Free trade is never beneficial for developing countries.

Unit Labor Requirements		
	Cloth	Widgets
Home	10	20
Foreign	60	30

22) Given the information in the table above, if the Home economy suffered a meltdown, and the Unit Labor Requirements doubled to 20 for cloth and 40 for widgets then home should

- A) export cloth.
- B) export widgets.
- C) export both and import nothing.
- D) export and import nothing.
- E) export widgets and import cloth.

23) U.S. imports of sugar are limited by an import quota that, according to a study updated in 2015, imposed annual losses on American consumers of

- A) \$1 billion. B) \$3.7 billion. C) \$1.5 billion. D) \$3.5 billion. E) \$2 billion.

24) In the two-country model of international labor mobility

- A) migration may reduce global output, although some groups are made better off.
- B) migration has no effect on global output, although some groups are made better off.
- C) migration results in increased global output, although some groups are made worse off.
- D) migration has no effect on global output, although some groups are made worse off.
- E) migration results in increased global output, and all groups are made better off.

25) In the specific factors model, a 5% increase in the price of food accompanied by a 1% increase in the price of cloth will cause _____ in the welfare of labor, _____ in the welfare of the fixed factor in the production of food, and _____ in the welfare of the fixed factor in the production of cloth.

- A) an ambiguous change; an increase; a decrease
- B) an ambiguous change; a decrease; an increase
- C) a decrease; an ambiguous change; an ambiguous change
- D) an ambiguous change; an ambiguous change; an ambiguous change
- E) an increase; a decrease; an increase

26) Because of _____, adding a worker means that each worker has less capital to work with, each successive increment of labor will add less to production than the last.

- A) increasing returns B) constant returns
- C) diminishing returns D) total returns

27) The Ricardian model of international trade demonstrates that trade can be mutually beneficial. Why, then, do governments restrict imports of some goods?

- A) The Ricardian model is often incorrect in its prediction that trade can be mutually beneficial.
- B) Import restrictions are the result of trade wars between hostile countries.
- C) Trade can have significant harmful effects on some segments of a country's economy.
- D) Restrictions on imports can have significant beneficial effects on domestic consumers.
- E) Imports are only restricted when foreign-made goods do not meet domestic standards of quality.

28) Which of the following statements is TRUE?

- A) At the production point, the production possibility frontier is sloping downwards.
- B) At the production point, the production possibility frontier must be tangent to a line whose slope is minus the price of cloth divided by that of food.
- C) At the production point, the production possibility frontier is a straight line.
- D) At the production point, the production possibility frontier is sloping upwards.

29) In the specific factors model, a 5% increase in the price of food accompanied by a 5% increase in the price of cloth will cause wages to _____, the production of cloth to _____, and the production of food to _____.

- A) remain constant; increase; increase
- B) remain constant; decrease; decrease
- C) increase by 5%; remain unchanged; remain unchanged
- D) increase by more than 5%; increase; remain unchanged
- E) increase by less than 5%; decrease; increase

30) Many workers in US import-competing industries with China

- A) are not affected by competition and trade.
- B) get retrained to find a better job.
- C) suffer long unemployment spells and face large drops in wages when they do find another employment.
- D) got laid off and then found another employment with higher wages.

31) In the specific factors model, the effects of trade on welfare overall are _____ and for fixed factors used to produce the exported good they are _____.

- A) positive; ambiguous
- B) positive; positive
- C) negative; positive
- D) positive; negative
- E) ambiguous; positive

32) It is hard to make the case that the decline in the U.S. manufacturing share down to _____ in 2010 was driven by the growth in Chinese imports.

- A) 6.8 percent B) 7.8 percent C) 8.8 percent D) 5.8 percent

33) U.S. imports of sugar are limited by an import quota that, according to a study updated in 2015, imposed a total cost on American consumers close to \$_____, or an average consumer cost of over _____ per year for every job saved in the U.S sugar industry.

- A) \$2 billion; \$110
- B) \$3.5 billion; \$3,000,000
- C) \$105 million; \$3
- D) \$3 billion; \$10
- E) \$370 million; \$20

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34) In the two-country model of international labor mobility

- A) the long-run equilibrium global real wage is equal to the greater of the pre-migration wages in the two countries.
- B) the long-run equilibrium global real wage is equal to the lesser of the pre-migration wages in the two countries.
- C) the effect of migration is to cause real wages in the two countries to diverge.
- D) the effect of migration is to cause real wages in the two countries to converge.
- E) labor has only limited international mobility.

Problem (16 points)

Canada produces two goods: Automobiles (A) and Wheat (W). Labor is mobile between the two sectors, while capital is specific to automobiles and land is specific to wheat.

$$Q_A = K^{1/2}L_A^{1/2}, \quad Q_W = T^{1/2}L_W^{1/2}, \quad L_A + L_W = L.$$

Endowments:

$$K = 49, \quad T = 81, \quad L = 120.$$

Prices: initially $P_A = 4$, $P_W = 2$. Later, P_A rises to 6 while P_W remains 2.

1. Derive the marginal products of labor in each sector.
2. Write the wage equalization condition and show the equation that determines the allocation of labor between the two sectors.
3. Solve for the equilibrium allocation of labor (L_A , L_W) and the common wage when $P_A = 4$.
4. Recalculate the equilibrium labor allocation and wage when $P_A = 6$.
5. Suppose the world price of automobiles is higher than Canada's initial autarky price. Explain, using the logic of the specific-factors model, how opening up to trade would affect:
 - (a) Labor allocation between the two sectors,
 - (b) The real return to capital, land, and labor, and
 - (c) The pattern of trade (which good Canada exports and imports).

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